innovative investor is equally aware of the risk necessary to achieve those returns.

As discussed in the previous chapter, by combining returns and volatility into one metric, we can do an apples-to-apples comparison between cryptoassets and other traditional and alternative assets. Currently, cryptoassets often have much higher volatility than other assets, and the Sharpe ratio enables us to understand this volatility in terms of the returns reaped.

It's still important to consider volatility outside of the Sharpe ratio in the context of the investor's time horizon. While some volatile assets will have excellent Sharpe ratios over long time periods, those investments may not be appropriate for someone needing to place a down payment on a house three months from now.

In comparing bitcoin to the FANG stocks, we observed that bitcoin had the highest volatility but also the highest returns by far. Interestingly, its Sharpe ratio was not just the highest but significantly so. Bitcoin compensated investors twice as well for the risk they took than Facebook did and 40 percent better than Netflix, its closest contender (see Figure 7.14).